

Point of Difference between Public Company and Private Company	Public Company	Private Company
Meaning	Public companies are those whose shares are traded on the stock exchange, allowing anyone who purchases these shares to become part of the company's ownership.	Private companies are owned by a smaller group of individuals, often including the company founders. The ownership is not open to the public, and shares are not traded on public stock exchanges.
Definition	The definition is mentioned in Section 2 (71) of the Companies Act, 2013.	The definition is mentioned in Section 2(68) of the Companies Act, 2013.
Minimum members Required	The public company shall have at least 7 members.	The private company must have at least two members.
Maximum members	Unlimited members in a public company.	Maximum of 200 members in a private company.
Ownership	The ownership is divided among the general public.	The ownership is vested among the founders and investors.
Directors	A minimum of three directors are required in a public company.	A minimum of two directors are required in a private company.
Independent Director	At least one-third of the members must be Independent Directors	There is no such requirement in a private company.
Contract with Directors	It is mandatory to have a contract between managing directors and whole-time directors	It is optional.
Issue of securities	The public company can issue its securities by Prospectus/ right of issue/ private placement.	The private company can issue its security by right of issue/private placement.
Transferability of Shares	The shares of the public company are freely transferable	The shares of the private company have restrictions in transfer of shares.
Liquidity of funds	It is easier for the investor to get their money back.	It is comparatively difficult.

Prospectus	The public company can issue a prospectus.	The private company is prohibited from issuing a prospectus.
Suffix/Prefix	The word “Public Limited” must be added at the end	The word “Private Limited” must be added at the end
Articles of Associations	Must be approved by a special resolution.	Must be approved by all members.
Quorum Meetings	If the company’s members are within one thousand, the quorum must be five. If the company’s members are more than one thousand and within five thousand, the quorum must be of fifteen members present. If the company’s members are more than five thousand, the quorum must be thirty. (Section 103 of the Companies Act 2013)	Two members must be present in the meeting.
Disclosure requirements	Public companies need to disclose their financial conditions to the public.	Private companies need not make their financial disclosures publicly. It may provide these disclosures to its members and investors.